

quality. Hence, accounting earnings are useful to the analyst only if they approximate the company's expected cash flow.

But even cash flow, Buffett warns, is not a perfect tool for measuring value; in fact, it often misleads investors. Cash flow is an appropriate way to measure businesses that have large investments in the beginning and smaller outlays later on, such as real estate development, gas fields, and cable companies. Manufacturing companies, on the other hand, which require ongoing capital expenditures, are not accurately valued using only cash flow.

A company's cash flow is customarily defined as net income after taxes plus depreciation, depletion, amortization, and other noncash charges. The problem with this definition, explains Buffett, is that it leaves out a critical economic fact: capital expenditures. How much of this year's earnings must the company use for new equipment, plant upgrades, and other improvements needed to maintain its economic position and unit volume? According to Buffett, an overwhelming majority of U.S. businesses require capital expenditures that are roughly equal to their depreciation rates. You can defer capital expenditures for a year or so, he says, but if over the long period you don't make the necessary capital expenditures, your business will surely decline. These capital expenditures are as much an expense as are labor and utility costs.

Popularity of cash flow numbers heightened during the leveraged buyout period because the exorbitant prices paid for businesses were justified by a company's cash flow. Buffett believes that cash flow numbers "are frequently used by marketers of businesses and securities in attempts to justify the unjustifiable and thereby sell what should be unsalable. When earnings look inadequate to service debt of a junk bond or justify a foolish stock price, how convenient it becomes to focus on cash flow."²⁴ But you cannot focus on cash flow, Buffett warns, unless you are willing to subtract the necessary capital expenditures.

Instead of cash flow, Buffett prefers to use what he calls "owner earnings"—a company's net income plus depreciation, depletion, and amortization, less the amount of capital expenditures and any additional working capital that might be needed. But he admits that owner earnings do not provide the precise calculation that many analysts demand. Calculating